The Beauty Health Company

This note frames the current earnings base for SKIN with emphasis on profitability, capital structure, and cash-flow durability.

Revenue

$334M

-16.0%

Net Income

-$29M

-70.9%

Operating Margin

-20.3%

-38.4%

Free Cash Flow

$15M

-14.2%

At a glance

- Revenue is $334M with -16.0% change versus the prior period.
- Net income is -$29M, indicating current earnings scale.
- Operating margin is -20.3%, supporting the current profitability profile.

Executive Summary

SKIN — Current period: 2024-12-31 | Prior period: 2023-12-31

SKIN posted $334M in revenue (-16.0% YoY) and -$29M in net income (-70.9% YoY) for 2024-12-31. Simultaneous revenue and earnings contraction underscores fundamental headwinds in the current operating environment. The profitability profile is defined by operating margin of -20.3% and net margin of -8.7%, framing the earnings quality behind the headline figures.
Current ratio stands at 7.00x in the locked annual basis, providing a baseline liquidity reference. The quick ratio of 5.99x confirms liquidity depth after excluding inventory from the coverage calculation.

Cash generation is anchored by $16M in operating cash flow (-25.8% YoY), which converts to $15M in free cash flow (-14.2% YoY). Capital expenditures of $756K (0.2% of revenue) show the reinvestment burden required to sustain the current operating base.

Current balance-sheet and cash profile: current ratio 7.00x, free cash flow $15M.

Snapshot Scorecard

Metric	Current	Prior	Change
Revenue	$334M	$398M	-16.0%
Net Income	-$29M	-$100M	-70.9%
Operating Margin	-20.3%	-32.9%	-38.4%
Current Ratio	7.00x	6.07x	15.3%
Free Cash Flow	$15M	$18M	-14.2%

Revenue
$334M

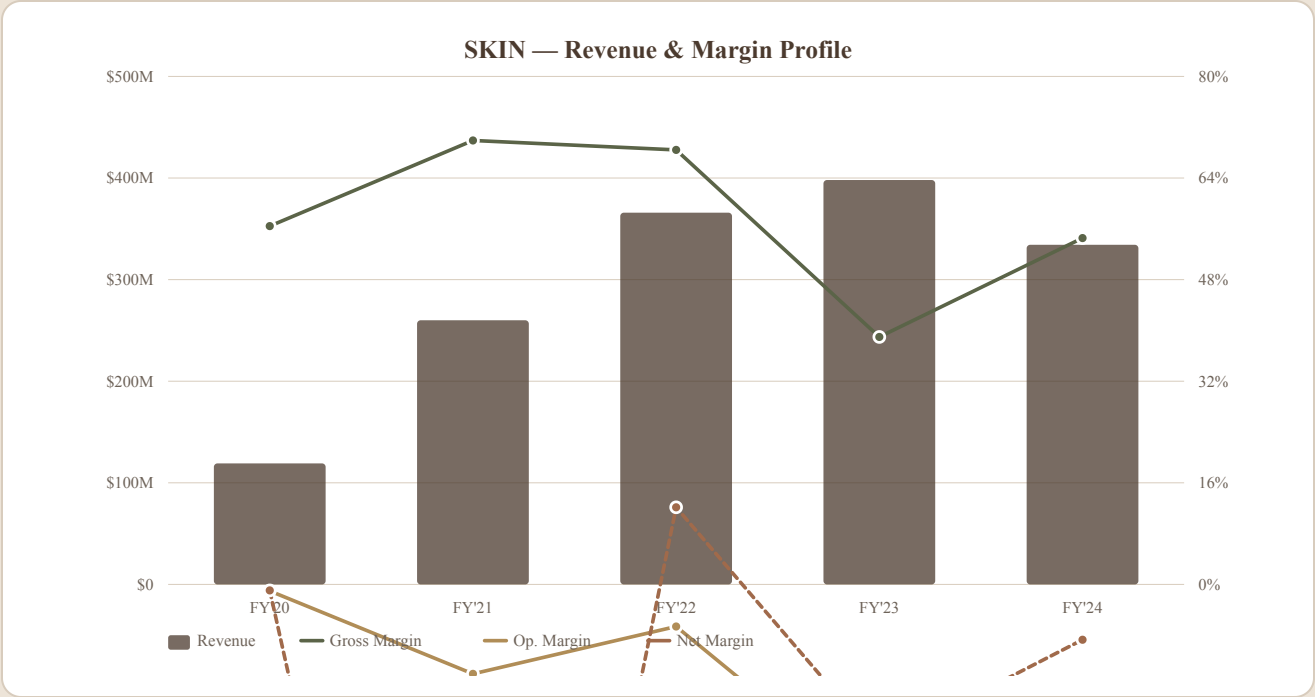
Net Income
-$29M

Operating Margin
-20.3%

Free Cash Flow
$15M

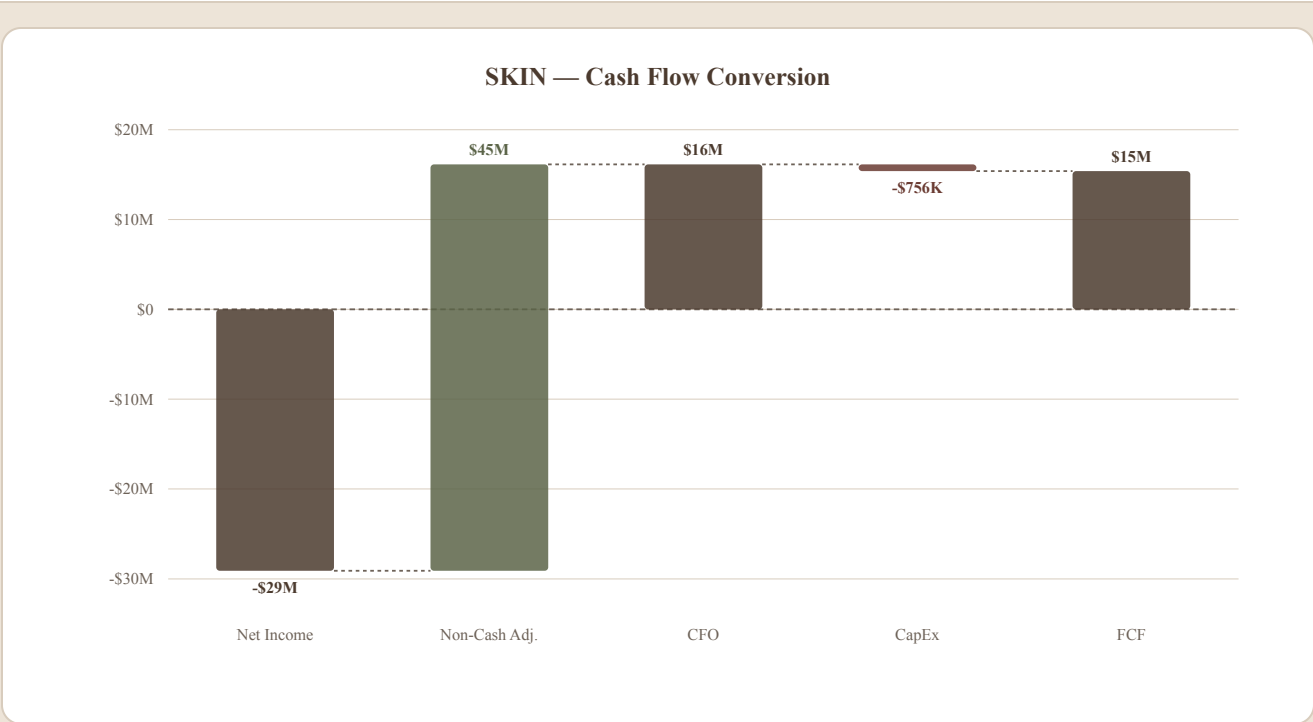
Visual Highlights I

SKIN — Current period: 2024-12-31 | Prior period: 2023-12-31



Revenue Growth & Margin Profile

Revenue trend and margin structure across the most recent annual periods.

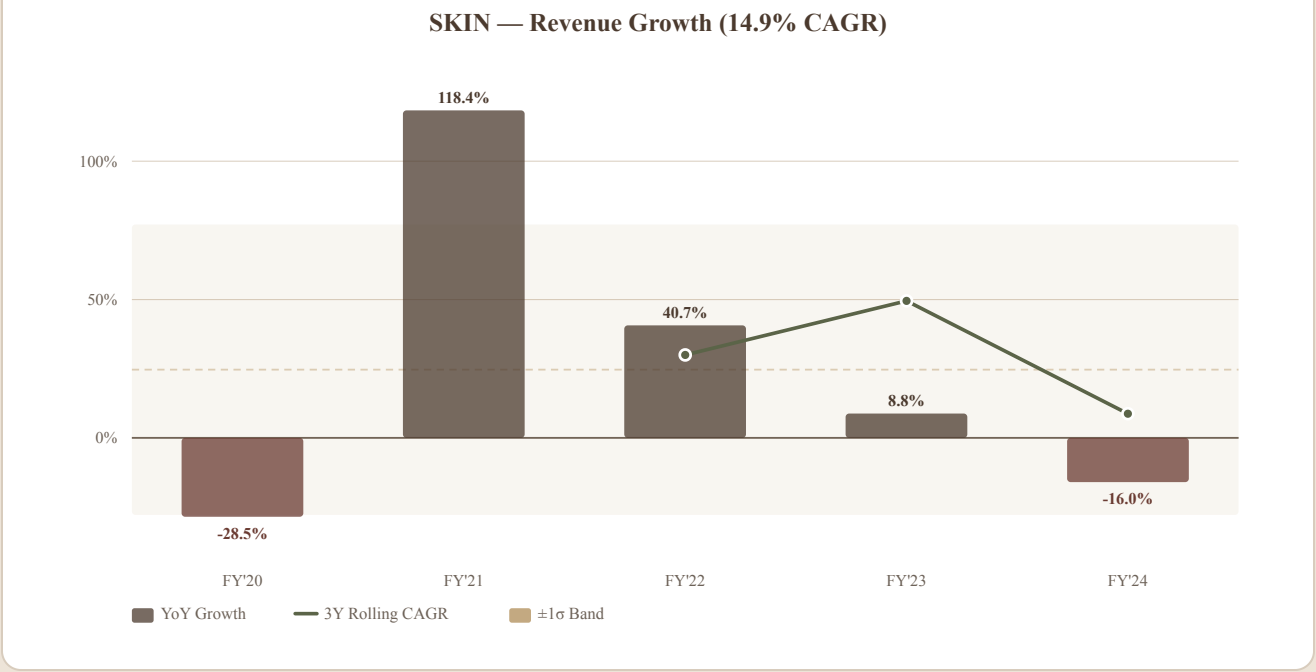


Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

Visual Highlights II

SKIN — Current period: 2024-12-31 | Prior period: 2023-12-31



Revenue Growth

Year-over-year growth path and stability over the latest annual periods.

Interpretation Snapshot

Key interpretation anchors from the same annual data used in the charts.

- Return on equity is -52.3%, indicating current capital productivity.
- Current ratio is 7.00x, framing near-term liquidity coverage.
- Operating cash flow is $16M.

Key Metrics Dashboard

SKIN — Current period: 2024-12-31 | Prior period: 2023-12-31

Profitability

Metric	Current Value	Prior Period	Change (%)
Gross Profit	$182M	$155M	17.5%
Return on Equity	-52.3%	-168.6%	-69.0%
Return on Assets	-3.6%	-10.8%	-66.6%
Gross Margin	54.5%	39.0%	39.9%
Operating Margin	-20.3%	-32.9%	-38.4%
Net Margin	-8.7%	-25.2%	-65.4%
Earnings Per Share (Diluted)	$-0.36	$-0.76	-52.6%

Liquidity & Leverage

Metric	Current Value	Prior Period	Change (%)
Current Assets	$477M	$698M	-31.7%
Current Liabilities	$68M	$115M	-40.7%
Current Ratio	7.00x	6.07x	15.3%
Quick Ratio	5.99x	5.28x	13.4%

Method Notes

- Period lock is deterministic: headline, dashboard, and appendix are aligned to the same annual basis.
- Derived metrics are formula-based and only shown when required source inputs are present.
- Unavailable, policy-excluded, and QA-excluded fields come directly from canonical reason codes rather than template-side omissions.

Key Metrics Dashboard (Cont.)

SKIN — Current period: 2024-12-31 | Prior period: 2023-12-31

Scale

Metric	Current Value	Prior Period	Change (%)
Revenue	$334M	$398M	-16.0%
Gross Profit	$182M	$155M	17.5%
Operating Income	-$68M	-$131M	-48.2%
Net Income	-$29M	-$100M	-70.9%
Total Assets	$686M	$929M	-26.2%
Total Liabilities	$634M	$870M	-27.1%
Stockholders' Equity	$52M	$59M	-12.8%
Shares Outstanding	124.9M	122.9M	1.6%

Cash Flow & Per Share

Metric	Current Value	Prior Period	Change (%)
Operating Cash Flow	$16M	$22M	-25.8%
Cash at End of Period (cash-flow statement)	$370M	$523M	-29.2%
Capital Expenditures	-$756K	-$3.8M	-80.2%
Free Cash Flow	$15M	$18M	-14.2%
Working Capital	$409M	$583M	-29.9%
Asset Turnover	0.41x	0.43x	-3.3%
Book Value Per Share	$0.41	$0.48	-14.2%

Commentary

SKIN — Current period: 2024-12-31 | Prior period: 2023-12-31

What stands out

- Total Liabilities is currently $634M with 147.6% CAGR. Total Liabilities has grown at a 147.6% CAGR.
- Total Stockholders' Equity is currently $52M with 136.8% CAGR. Total Stockholders' Equity has grown at a 136.8% CAGR.
- Operating Cash Flow is currently $16M with 56.3% CAGR. Operating Cash Flow has grown at a 56.3% CAGR.

Watch items

- The following governed risk signals are active in the locked annual basis.
- **Declining revenue:** Revenue declined 16.0% versus prior year.

Analyst interpretation

- Gross margin of 54.5% indicates strong pricing power.
- Current ratio of 7.00x indicates solid liquidity.
- Net margin is -8.7%, indicating a loss-making profile.

Next Filing Checklist

- Confirm whether SKIN can sustain revenue at $334M through the next filing cycle.
- Track free cash flow conversion versus earnings; current reference is $15M.
- Reassess leverage and liquidity together (Unavailable debt-to-equity, 7.00x current ratio).

Appendix

SKIN — Current period: 2024-12-31 | Prior period: 2023-12-31

Appendix A — SKIN Income Statement

Metric	FY2024	FY2023	FY2022
Revenue	$334M	$398M	$366M
Cost of Revenue	$152M	$243M	$116M
Gross Profit	$182M	$155M	$250M
Operating Expenses	$250M	$286M	$275M
Operating Income	-$68M	-$131M	-$24M
Net Income	-$29M	-$100M	$44M
EPS (Basic)	$-0.23	$-0.76	$0.30
EPS (Diluted)	$-0.36	$-0.76	$-0.23
Weighted Avg Shares (Diluted)	142.5M	131.7M	148.5M
R&D Expenses	$6.3M	$10M	$8.4M
Pretax Income	-$30M	-$102M	$45M
Income Tax Expense	-$452K	-$1.8M	$648K

Appendix B — SKIN Balance Sheet

Metric	FY2024	FY2023	FY2022
Shares Outstanding	124.9M	122.9M	132.2M
Total Assets	$686M	$929M	$1.01B
Total Liabilities	$634M	$870M	$837M
Total Stockholders' Equity	$52M	$59M	$171M
Current Assets	$477M	$698M	$789M
Current Liabilities	$68M	$115M	$73M
Inventory	$69M	$91M	$116M
Accounts Receivable	$28M	$55M	$76M
Other Current Assets	$9.5M	$29M	$27M
Accounts Payable	$22M	$45M	$30M
Accrued Expenses	$20M	$20M	$15M
Retained Earnings	-$508M	-$479M	-$374M
AOCI	-$7.0M	-$3.0M	-$4.5M
Goodwill	$123M	$126M	$125M

Appendix (Cont.)

SKIN — Current period: 2024-12-31 | Prior period: 2023-12-31

Appendix C — SKIN Cash Flow Statement

Metric	FY2024	FY2023	FY2022
Operating Cash Flow	$16M	$22M	-$107M
Capital Expenditures	-$756K	-$3.8M	-$11M
Investing Cash Flow	-$6.8M	-$32M	-$19M
Financing Cash Flow	-$158M	-$37M	-$205M
Share Repurchases	$0	-$30M	-$160M
Depreciation	$9.9M	$11M	$7.2M
Amortization of Intangibles	$20M	$21M	$15M
Cash at End of Period (cash-flow statement)	$370M	$523M	$568M

Appendix Notes — SKIN

- Locked annual appendix basis uses FY2024 and FY2023.
- Asset Turnover: Asset turnover uses average assets for the current period and prior ending assets for the prior comparison.
- Book Value Per Share: Book Value Per Share uses period-end shares outstanding.

Appendix Notes — SKIN (Cont.)

- Earnings Per Share (Diluted): Earnings Per Share (Diluted) uses diluted weighted-average shares from the income statement.
- Cash-flow outflows are normalized to negative values so appendix signs match the dashboard and narrative.
- Primary filing anchor: 10-K filed 2025-03-12.

Data Sources & Notes

Ticker	CIK	Accession	Form	Filed	Primary Document
SKIN	0001818093	0001628280-25-012407	10-K	2025-03-12	https://www.sec.gov/Archives/edgar/data/1818093/000162828025012407/0001628280-25-012407-index.htm
SKIN	0001818093	0001628280-24-010638	10-K	2024-03-12	https://www.sec.gov/Archives/edgar/data/1818093/000162828024010638/0001628280-24-010638-index.htm
SKIN	0001818093	0001818093-23-000006	10-K	2023-03-01	https://www.sec.gov/Archives/edgar/data/1818093/000181809323000006/0001818093-23-000006-index.htm

Method Notes

- Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.
- Standalone metrics are locked to the selected annual current/prior basis for the issuer.
- Narrative text is descriptive only and does not alter deterministic calculations.

Report date: 2026-03-07. Retrieval date: 2026-03-08.

Disclaimer: For research use only; not investment advice.